

A paradigm shift: On India and its trade relations

India needs to think **anew** on its trade relations and strategies

The central government **implored** India's seafood industry, that provides **livelihoods** to about 28 million people, to "**bravely face**" the U.S.'s **tariffs** of 25% that **kicked in** on August 7, 2025 and which could be raised to 50% on August 27, 2025, **contingent upon** the **outcome** of trade **negotiations**. On August 13, 2025, highly placed sources in the Commerce and Finance Ministries told The Hindu that the government is **exploring "tweaking"** the Export Promotion Mission (EPM), that was announced in the 2025 Union Budget, with an **outlay** of ₹2,250 crore for the current **fiscal year**. **The EPM**, a multi-Ministry project to **drive** access to cheaper export credit, **overcome** non-trade barriers and **insure** payments from overseas buyers, focuses on India's micro, small and medium enterprises (MSME). Initially meant to be driven by the Ministries of Commerce, MSME and Finance, discussions are on to include the Textiles and Fisheries Ministries. These two **industries**, which **collectively** support about 135 million Indians, **form** among the largest segment of MSMEs that are likely to face the most impact due to the **sanctions**. The U.S. typically **accounts for** roughly a third of India's apparel and seafood exports annually.

The government's **implication** to also **diversify** into other markets **is** a **tacit admission** that the **Bilateral** Trade Agreement negotiations with the U.S. are **deadlocked**, and that the personal **equations** between Prime Minister Narendra Modi and U.S. President Donald Trump **have** not translated into a win for either side. Bilateral relations have **arguably** hit a level lower than during the **Cold War**, as the two nations were not as **enmeshed** as they are now, **economically**, culturally and militarily. Trade and service routes and supply chains take **decades** to build and **undoing** them overnight is not possible. This has been clear from the European Union's **reliance on** Russian oil and the global dependence on rare earth elements from China. While consultations have been ongoing between the government and MSME sector **stakeholders** ever since Mr. Trump announced "**reciprocal tariffs**" in April, there is a **chorus** now for **drastic** governmental intervention to **safeguard** the **backbone** of the economy — it contributes nearly half (45.79% in FY25) of goods exports and employs over 28 crore people. The fisheries sector has **sought** a 240-day **moratorium** on pre- and post-shipment credit repayment, while the textiles, apparel and gem and jewellery sectors want **interest subvention**. The government has, however, **ruled out** direct subsidies. But **unprecedented** challenges require **novel** responses. The government must include in its **arsenal** a drastic refashioning of near-term trade ties with neighbours, **in particular**, China, which it had ignored in the hope that the **assiduous cultivation** of ties with Washington **would pay off**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Paradigm shift** (phrase) – sea change, fundamental change, tectonic shift, transformation, reorientation मूलभूत परिवर्तन
2. **Anew** (adverb) – afresh, again, from scratch, over again, de novo नए सिरे से
3. **Implore** (verb) – beseech, entreat, plead, beg, urge विनती करना
4. **Livelihood** (noun) – means of living, income, sustenance, occupation, employment रोज़ी-रोटी
5. **Bravely** (adverb) – courageously, boldly, valiantly, fearlessly, stoutly साहसपूर्वक
6. **Tariff** (noun) – duty, customs duty, import tax, levy, impost शुल्क
7. **Kick in** (phrasal verb) – take effect, start, come into force, commence, begin लागू होना
8. **Contingent** (upon) (adjective) – dependent on, conditional on, subject to, hinged on, predicated on निर्भर
9. **Outcome** (noun) – result, consequence, upshot, payoff, conclusion परिणाम
10. **Negotiation** (noun) – talks, bargaining, dialogue, parley, discussion वार्ता
11. **Explore** (verb) – examine, consider, probe, assess, investigate परखना
12. **Tweak** (verb) – modify, adjust, fine-tune, recalibrate, refine हल्का संशोधन करना
13. **Outlay** (noun) – expenditure, spending, allocation, disbursement, appropriation व्यय
14. **Fiscal year** (noun) – financial year, accounting year, budget year, tax year, FY वित्तीय वर्ष
15. **Drive** (verb) – propel, spur, catalyze, push, energize प्रेरित करना
16. **Overcome** (verb) – surmount, conquer, defeat, get past, prevail over काबू पाना
17. **Insure** (verb) – secure, guarantee, underwrite, safeguard, assure बीमित करना
18. **Collectively** (adverb) – together, jointly, in aggregate, as a whole, in total सामूहिक रूप से
19. **Sanction** (noun) – penalty, restriction, embargo, punitive measure, trade ban प्रतिबंध
20. **Account for** (phrasal verb) – constitute, make up, represent, explain, be responsible for हिस्सा होना
21. **Imploration** (noun) – plea, entreaty, supplication, beseeching, earnest request विनती

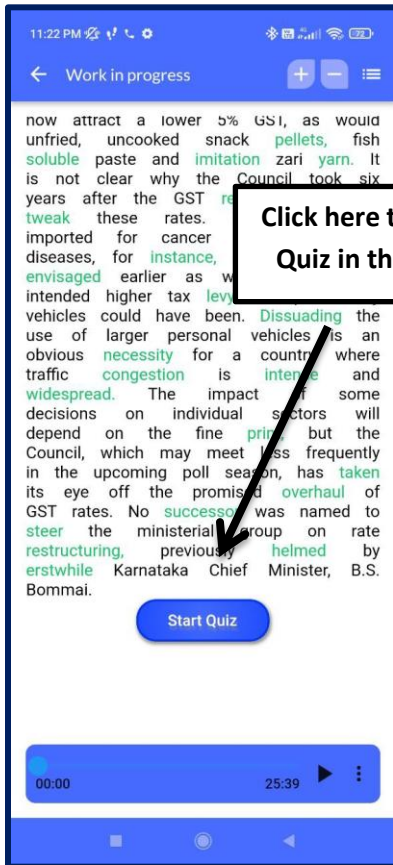
22. **Diversify** (verb) – broaden, expand, spread out, branch out, vary विविधीकरण करना
23. **Tacit** (adjective) – implicit, unspoken, understood, wordless, implied मौन, सूचित
24. **Admission** (noun) – acknowledgment, concession, confession, acceptance, avowal स्वीकृति
25. **Bilateral** (adjective) – two-sided, reciprocal, mutual, two-party, intergovernmental द्विपक्षीय
26. **Deadlocked** (adjective) – stalemated, gridlocked, at an impasse, stalled, locked up गतिरोधग्रस्त
27. **Arguably** (adverb) – plausibly, conceivably, defensibly, debatably, arguably तर्कसंगततः
28. **Cold war** (noun) – geopolitical standoff, great-power rivalry, ideological confrontation, strategic competition, proxy contest शीत युद्ध
29. **Enmeshed** (adjective) – entangled, intertwined, interlinked, ensnared, enmeshed गुँथा हुआ
30. **Economically** (adverb) – in economic terms, financially, fiscally, commercially, in market terms आर्थिक रूप से
31. **Decade** (noun) – Period of ten years, दशक
32. **Undo** (verb) – reverse, roll back, dismantle, unravel, negate पलट देना
33. **Reliance** (on) (noun) – dependence, trust in, leaning on, dependence on, overreliance निर्भरता
34. **Stakeholder** (noun) – participant, interested party, actor, constituent, beneficiary हितधारक
35. **Reciprocal tariff** (noun) – means that if one country imposes tariffs on another, the other country does the same in return
36. **Chorus** (noun) – clamour, outcry, groundswell, chorus of voices, refrain एकस्वर
37. **Drastic** (adjective) – severe, extreme, radical, sweeping, far-reaching कठोर
38. **Safeguard** (verb) – protect, shield, secure, defend, insulate सुरक्षित करना
39. **Backbone** (noun) – mainstay, pillar, bedrock, linchpin, spine आधार
40. **Seek** (verb) – request, pursue, ask for, solicit, petition for मांगना
41. **Moratorium** (noun) – payment pause, suspension, deferment, standstill, freeze स्थगन
42. **Interest subvention** (noun) – means *the government pays part of the loan interest*, commonly for home, crop, and education loans. ब्याज सब्सिडी
43. **Rule out** (phrasal verb) – exclude, reject, preclude, bar, dismiss खारिज करना

44. **Unprecedented** (adjective) – never-before, unparalleled, unmatched, novel, extraordinary अभूतपूर्व
45. **Novel** (adjective) – new, innovative, fresh, original, unconventional नवीन
46. **Arsenal** (adjective) – armory, toolkit, repertoire, array, stockpile शस्त्रागार
47. **In particular** (phrase) – especially, notably, specifically, particularly, chiefly विशेषकर
48. **Assiduous** (adjective) – diligent, painstaking, industrious, meticulous, persevering परिश्रमी
49. **Cultivation** (noun) – fostering, nurturing, development, promotion, strengthening संवर्धन
50. **Ties** (noun) – relations, links, bonds, connections, relationship संबंध
51. **Pay off** (phrasal verb) – yield results, bear fruit, deliver returns, prove worthwhile, pay dividends फल देना

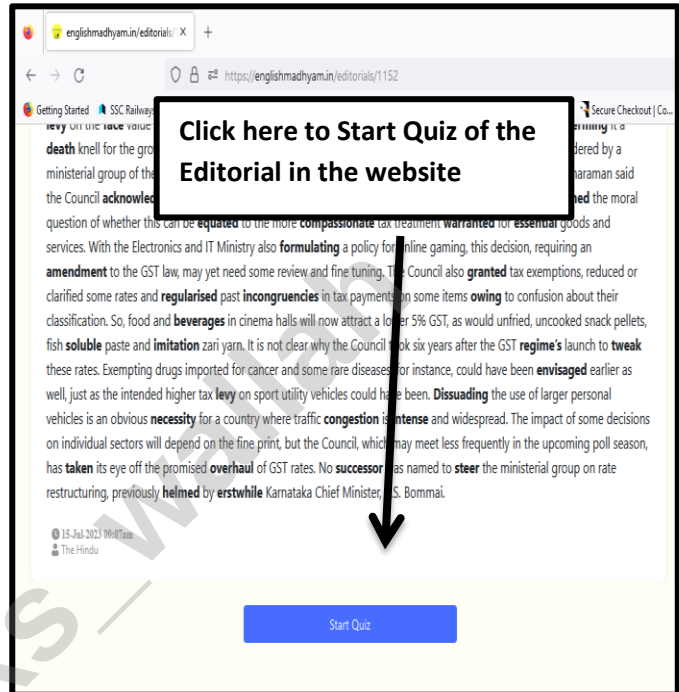
Summary of the Editorial

1. The U.S. has imposed a 25% tariff on Indian seafood exports starting August 7, 2025, with the possibility of raising it to 50% on August 27.
2. India's seafood industry, employing about 28 million people, is directly hit by the tariff decision.
3. The government urged the industry to "bravely face" the U.S. sanctions while exploring policy responses.
4. One key step under consideration is "tweaking" the Export Promotion Mission (EPM), launched in the 2025 Union Budget with ₹2,250 crore allocation.
5. The EPM is designed to improve export credit access, tackle non-trade barriers, and insure overseas payments for MSMEs.
6. Originally involving the Ministries of Commerce, MSME, and Finance, discussions are on to include Textiles and Fisheries Ministries as well.
7. Together, textiles and fisheries support about 135 million people, making them critical to the MSME segment most vulnerable to U.S. sanctions.
8. The U.S. accounts for about one-third of India's seafood and apparel exports annually, increasing the stakes of the tariff battle.
9. India's push to diversify into other markets signals the failure of bilateral trade negotiations with the U.S.
10. Personal ties between Prime Minister Modi and President Trump have not yielded tangible trade outcomes.
11. India-U.S. relations are at their lowest in decades, despite being more deeply interconnected than during the Cold War.
12. The editorial notes that trade and supply chains take decades to build, making sudden disruptions damaging and difficult to offset.
13. Stakeholders from the MSME sector have been in dialogue with the government since April, after Trump's "reciprocal tariffs" announcement.
14. Key demands include a 240-day moratorium on credit repayment for fisheries and interest subvention for textiles, apparel, and jewellery sectors.
15. The government has ruled out direct subsidies but must adopt innovative strategies, including recalibrating trade relations with China, previously sidelined in favor of the U.S.

Practice Exercise: Banking Pattern Based



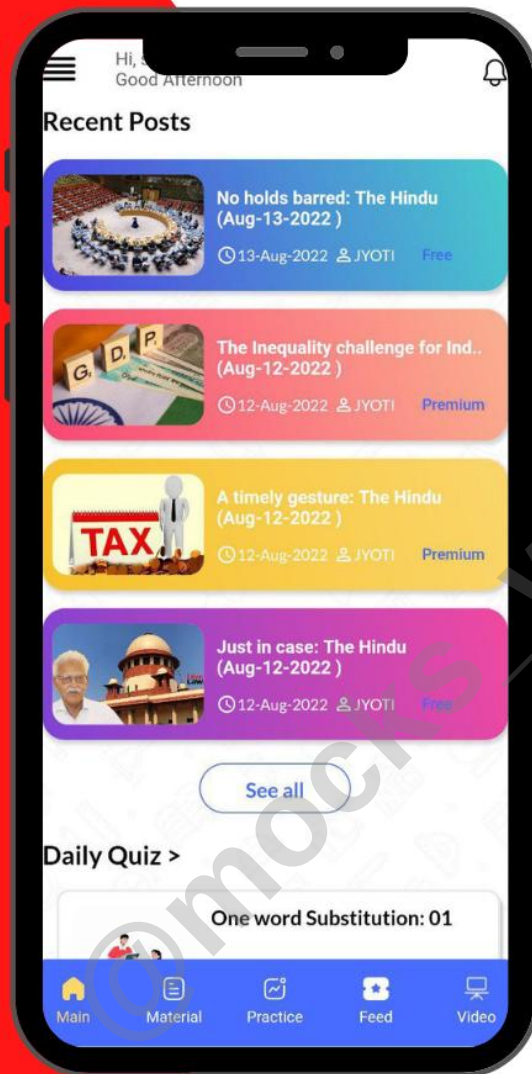
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